CORE DOMAIN 1: PERSONAL FINANCE & BUDGETING

50 Essential Questions & Answers on Personal Wealth Management

Q1. What is the 50/30/20 budgeting rule?

Answer: A framework splitting net income into 50% needs (housing, groceries), 30% wants (dining, travel), and 20% savings/debt payoff.

Q2. Why is an emergency fund critical?

Answer: It provides a liquid buffer (typically 3–6 months of living expenses) to prevent taking on high-interest debt during sudden income shocks.

Q3. What is the difference between a Traditional IRA and a Roth IRA?

Answer: Traditional IRAs use pre-tax dollars, lowering current income tax, but distributions are taxed. Roth IRAs use post-tax dollars, allowing tax-free growth and tax-free withdrawals in retirement.

Q4. Explain the debt snowball method.

Answer: A strategy where you pay off your smallest debts first for psychological wins, while making minimum payments on larger debts.

Q5. Explain the debt avalanche method.

Answer: A strategy where you prioritize debts with the highest interest rates first, mathematically minimizing total interest paid.

Q6. What is a credit score and why does it matter?

Answer: A numerical expression (typically 300-850) based on credit files, indicating creditworthiness to lenders for rates on loans and mortgages.

Q7. What major factors determine a FICO score?

Answer: Payment history (35%), amounts owed/credit utilization (30%), length of credit history (15%), new credit (10%), and credit mix (10%).

Q8. What is a high-yield savings account (HYSA)?

Answer: A savings account offering an interest rate significantly higher than the national average, accelerating liquid savings growth.

Q9. What is the rule of 72?

Answer: A simple formula to estimate how long an investment takes to double: divide 72 by the annual fixed rate of return (e.g., at 6%, it takes 12 years).

Q10. What is a 401(k) plan?

Answer: A company-sponsored retirement account allowing employees to contribute pre-tax salary, often incentivized by an employer match.

Q11. What is employer matching in a retirement plan?

Answer: Free capital provided by an employer matching employee contributions up to a specific percentage of their salary (e.g., 100% match up to 4%).

Q12. What is credit utilization?

Answer: The ratio of outstanding credit card balances to total available credit limits, recommended to be kept below 30%.

Q13. What is the difference between gross income and net income?

Answer: Gross income is total earnings before any taxes or deductions; net income is the actual take-home pay after all deductions.

Q14. What does an insurance premium mean?

Answer: The recurring amount paid to an insurance company to keep an insurance policy active.

Q15. What is an insurance deductible?

Answer: The out-of-pocket amount a policyholder must pay toward a claim before the insurance company covers the remaining costs.

Q16. What is a Health Savings Account (HSA)?

Answer: A tax-advantaged account for individuals with high-deductible health plans, offering triple tax benefits: pre-tax contributions, tax-free growth, and tax-free withdrawals for medical costs.

Q17. What is term life insurance?

Answer: A policy providing life insurance coverage for a specified timeframe (e.g., 10, 20, or 30 years) with no cash value component.

Q18. What is whole life insurance?

Answer: Permanent life insurance that covers the insured's entire lifetime and builds a cash value component over time.

Q19. What is net worth?

Answer: The total financial value calculated by subtracting all liabilities (debts) from total assets (what you own).

Q20. What is the danger of carrying a credit card balance?

Answer: High compounding interest rates (often 15–30% APR) rapidly increase debt and erode disposable income.

Q21. What is dollar-cost averaging (DCA)?

Answer: The practice of investing a fixed dollar amount on a regular schedule, regardless of asset prices, reducing market timing risk.

Q22. What is liquid asset?

Answer: An asset that can be converted into cash quickly with minimal impact on its value (e.g., cash, checking accounts).

Q23. What is inflation's impact on cash savings?

Answer: Inflation reduces purchasing power over time, meaning cash left in a low-interest account loses real value.

Q24. What is a fixed expense?

Answer: A recurring cost that stays the same from month to month, such as rent, a mortgage, or a fixed car payment.

Q25. What is a variable expense?

Answer: A cost that fluctuates monthly based on consumption or choices, such as groceries, utilities, and entertainment.

Q26. What is a reverse mortgage?

Answer: A financial product for seniors where a lender pays the homeowner using their home equity, repaid when the home is sold.

Q27. What is an annuity?

Answer: A financial contract with an insurance company where you pay a lump sum or series of payments in exchange for regular disbursements in retirement.

Q28. What is a soft credit inquiry?

Answer: A credit check (like background checks or checking your own score) that does not impact your credit rating.

Q29. What is a hard credit inquiry?

Answer: A credit check by a lender when evaluating an application for credit, which can temporarily lower your credit score.

Q30. What is a certificate of deposit (CD)?

Answer: A time-bound savings account with a fixed interest rate and fixed maturity date, penalizing early withdrawals.

Q31. What is discretionary income?

Answer: The amount of net income remaining after paying for all absolute necessities like housing, food, and taxes.

Q32. What is a secured credit card?

Answer: A credit card requiring a cash security deposit, which usually acts as the credit limit, designed to build credit.

Q33. What does it mean to co-sign a loan?

Answer: Legally agreeing to take full responsibility for a loan's repayment if the primary borrower defaults, risking your own credit.

Q34. What is a direct rollover?

Answer: Moving retirement funds directly from a former employer's 401(k) to a new 401(k) or IRA without triggering taxes or penalties.

Q35. What is an umbrella insurance policy?

Answer: Extra liability insurance designed to protect assets from major lawsuits or claims exceeding standard auto/home policies.

Q36. What is capital gains tax?

Answer: A tax levied on the profit made from selling an asset (like stocks or property) that increased in value.

Q37. What is the difference between short-term and long-term capital gains?

Answer: Short-term applies to assets held for one year or less and is taxed at ordinary income rates; long-term applies to assets held over a year and has lower tax rates.

Q38. What is tax-loss harvesting?

Answer: The practice of selling losing investments to offset capital gains taxes realized from winning investments.

Q39. What is a debt-to-income (DTI) ratio?

Answer: A metric lenders use (monthly debt payments divided by gross monthly income) to assess a borrower's capacity to manage new repayments.

Q40. What is a phishing financial scam?

Answer: A fraudulent attempt to acquire sensitive financial details (passwords, card numbers) by masquerading as a trustworthy institution via email/text.

Q41. What does diversification mean in personal investing?

Answer: Spreading investment capital across various asset classes, sectors, and geographies to reduce overall volatility and risk.

Q42. What is identity theft protection?

Answer: Services or habits that monitor personal data and credit files to alert individuals to unauthorized accounts opened in their name.

Q43. What is a line of credit?

Answer: An arrangement with a financial institution that establishes a maximum loan amount a borrower can draw from as needed.

Q44. What is an escrow account in real estate?

Answer: A neutral account where funds (like property taxes and homeowners insurance) are held by a third party and paid out on behalf of the buyer.

Q45. What is equity in a home?

Answer: The market value of a home minus the outstanding mortgage balance owed on it.

Q46. What is a primary beneficiary?

Answer: The first person or entity designated to receive assets from a life insurance policy or retirement account upon the owner's death.

Q47. What is a contingent beneficiary?

Answer: A secondary beneficiary who receives assets only if the primary beneficiary is deceased or unable to accept them.

Q48. What is a power of attorney (POA)?

Answer: A legal document granting an individual the authority to act on another person's behalf regarding financial or medical decisions.

Q49. What is a will?

Answer: A legal document outlining exactly how a person wishes their estate and assets to be distributed after their death.

Q50. What is a living trust?

Answer: A legal mechanism holding assets during a person's lifetime, which are then transferred seamlessly to beneficiaries without probate upon death.

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